Here, Solarz controls for undervaluation, finding that activism continues to produce outperformance over similar passive investments whether a sale occurs or not.

Do activists improve the fundamental performance of targeted firms? It seems that they do. Solarz finds improved margins and returns on assets, increased payout ratios, reduced leverage, and reduced assets. Brav et al. also found that targeted firms generated moderately improved returns on assets (defined as EBITDA/Assets), and significantly improved returns on equity, which suggests that they took on debt to lever the balance sheet. They also invest less in fixed assets and reduce capital expenditure. Brav et al. also note that activists are often successful in curtailing executive compensation and ousting CEOs, which has a considerable direct impact on shareholder gains. They demonstrate that chief executive pay drops by about $800,000 to $1 million annually after activism, and this has a significant impact on intrinsic value.[64]

> *Suppose all of the top executives combined are paid $4-$5 million less a year due to activism, and that this value goes to shareholders (assuming away tax issues, etc.), then the present value of such an income stream is on the order of magnitude of $50 million, which is a significant portion of the market capitalization of a typical targeted company (the average market capitalization of our sample firms is $706 million).*

Like Solarz, they observed a remarkable change in total payout policy before and after activism. While the total payout of the target companies is not different from their peers on average before activism, the difference becomes significantly larger one year after activism (1.66 percentage points). Defining the 14.5 percent of Brav et al.'s sample that are liquidated, sold, or taken private as a complete payout to existing shareholders, then the post-activism payout ratio is much higher than the conventional payout measures indicate. Boyson and Mooradian also found similar results, indicating that activists significantly improve both the short-term and long-term performance of targeted firms.[65] These performance improvements included reductions in cash holdings, which is further evidence that activists reduce the agency costs associated with free cash flows.

The research is clear that activist investors, particularly those who pursue aggressive, well-defined objectives, improve both the short-term market and longer-term operating performance of the companies they target.[66] In the process, they deliver strong returns for their own investors, in comparison to returns for less-aggressive activist investors and for comparable passive investors. While the filing of a schedule 13D notice heralds short-term market